

FREE RESOURCE · AI & FINANCE AUTOMATION

AI Governance Checklist for Finance

A 25-item governance framework for finance teams using AI tools — covering policy, data controls, output verification, model risk, and audit documentation.

25 Governance Items

5 Sections

Audit-Ready

Free Download

25 items

5 sections

Audit ready

Risk focused

Why AI Governance Matters in Finance

AI tools used in financial reporting, forecasting, and controls create specific governance obligations. Errors in AI-generated outputs that reach financial statements, lender reports, or board packs carry the same liability as manual errors — but can be harder to detect. This checklist ensures your finance team uses AI within a documented, auditable framework.

Section 1 — Policy and Accountability

- ☐ Define which AI tools are approved for use in finance processes — document the approved list
- ☐ Assign a named AI accountability owner in the finance function (typically CFO or Head of FP&A)
- ☐ Document prohibited uses: AI must not generate final financial statements without human review
- ☐ Establish a process for employees to report AI errors or unexpected outputs
- ☐ Include AI tool usage in the finance controls framework and internal audit scope

Section 2 — Data Input Controls

- ☐ Prohibit entry of personal data, customer data, or commercially sensitive data into public AI tools
- ☐ Document what financial data can and cannot be shared with AI systems (by data classification)
- ☐ Require that all data pasted into AI prompts is validated against source systems before use

-
- ☐ Establish controls for AI tools connected to financial systems via API (e.g. Copilot in Excel)
 - ☐ Confirm data retention policy for AI-generated outputs — how long, where stored, who can access
-

Section 3 — Output Review and Verification

- ☐ Require human review of all AI-generated numerical outputs before use in any report
 - ☐ Verify AI-generated commentary against source data — do not trust figures stated in AI output
 - ☐ Label AI-generated drafts as such until reviewed and approved by a qualified finance professional
 - ☐ Do not use AI-generated forward-looking statements without explicit approval from Finance Director
 - ☐ Establish a second-reviewer requirement for AI outputs used in board packs or lender reports
-

Section 4 — Model and Tool Risk

- ☐ Assess each AI tool for model hallucination risk — specifically in numerical and date-sensitive tasks
 - ☐ Document known limitations of each approved tool (e.g. context window, calculation accuracy)
 - ☐ Test AI tools on historical data before deploying in live financial reporting workflows
 - ☐ Monitor for AI tool updates that may change output behaviour — retest after major updates
 - ☐ Confirm the AI tool provider's data processing terms comply with your data governance policy
-

Section 5 — Audit and Documentation

- ☐ Retain the prompt used and the AI output alongside the final report for audit trail purposes
 - ☐ Document which sections of financial reports involved AI assistance and which were fully manual
 - ☐ Include AI governance in the management representation letter scope for year-end audit
 - ☐ Conduct annual review of AI tool usage in finance — assess emerging risks and update policy
 - ☐ Train all finance staff who use AI tools on the governance framework — document training completion
-

About This Resource

Developed by **Mirela Dragulescu**, a finance transformation specialist with 9+ years delivering AI adoption and governance frameworks across European finance teams.

RELATED RESOURCES

The **AI Prompt Library for Finance Teams** (free) — 30 tested prompts designed with built-in governance guardrails. The **Finance Automation Readiness Assessment** (free) — evaluates your team's governance readiness alongside technical and process maturity. Both available in the Resources section on MD Consulting's website.

info@mddbusinessconsulting.com